

UNSW Law & Justice Research Series

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[2026] *UNSWLRS* 6
Forthcoming Capital Markets Law
Journal

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The Contest Between Central Bank Digital Currencies, Stablecoins and Tokenised Deposits: Which Will Likely Win, and Why?

Ross P Buckley*

International payments are arguably the least efficient part of most financial systems and are thus ripe for disruption. Before 2025 central bank digital currencies (CBDCs) appeared to be the most likely vehicle for such disruption, given monetary systems are best built on the settlement finality of central bank money. This changed in 2025 with the support of the Trump Administration for stablecoins. There is now a contest between stablecoins, CBDCs and tokenized bank deposits to underpin international payments in the future. This article analyses the three different architectures and argues that tokenized deposits are the most likely to prevail longer term.

I INTRODUCTION

Arguably, the most inefficient sector in international finance is international payments.¹ While developed countries mostly have highly efficient *domestic* payments systems² – cross-border payments remain slow and costly. This is mostly due to a reliance on the traditional correspondent banking model, a centuries-old system where money moves through a chain of intermediary banks which maintain accounts with each other and exchange messages instructing

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¹ Dirk A Zetsche et al, 'From "Best Friends" to "Best Execution": Rethinking Cross-Border Payments' (2022) 2022(8) *Journal of Business Law* 682.

² See, eg, World Bank, 'A Snapshot: Payment Systems Worldwide' (Report, October 2023) <<https://documents.worldbank.org/en/publication/documents-reports/documentdetail/099011624132054588>>; Bank for International Settlements, 'Fast payments: Design and Adoption' [2024] (March) *BIS Quarterly Review* 31.

‘debit this pool, credit that customer’, and then reconcile later.³⁴ Each step in the payment chain is bound by cut-off times, local business hours and public holidays across several jurisdictions.⁵ Screening for sanctions, fraud, and anti-money-laundering adds further reviews, sometimes manually when anomalies appear.⁶ Minor data errors, such as a name misspelling or address mismatch, can significantly disrupt the chain.⁷

Accordingly, in 2025, only 54.6% of wholesale payments were credited within one hour globally.⁸ The average B2B cross-border payment cost was 1.6%, with about 87% of that cost being FX spread – the difference between a forex broker’s sell rate and buy rate – rather than explicit fees.⁹ Moreover, a tenth of B2B corridors still cost over 3%.¹⁰ The payments corridors to poor countries, by which citizens working abroad send money back to their families, cost 6% to 7% on average – more than double the G20 target of 3% – meaning millions of dollars never reach the people on our planet who need them the most.¹¹

These long-standing failings have opened the door to alternatives offering faster and cheaper cross-border payments. The amount of stablecoins issued is growing rapidly.¹² Meanwhile, more than 130 countries, representing ‘98% of global GDP’, have been exploring

³ ‘CPMI Quantitative Review of Correspondent Banking Data’, *BIS* (Web Page) <https://www.bis.org/cpmi/paysysinfo/corr_bank_data.htm> (‘Review of Correspondent Banking’).

⁴ Ibid.

⁵ Committee on Payments and Market Infrastructures, *Extending and Aligning Payment System Operating Hours for Cross-Border Payments* (Final Report, May 2022) <<https://www.bis.org/cpmi/publ/d203.pdf>> (‘Aligning Cross-Border Payments’); Financial Stability Board, *G20 Roadmap for Enhancing Cross-border Payments* (Consolidated Progress Report, 9 October 2025) 9, 24 n 30 <<https://www.fsb.org/uploads/P091025-1.pdf>> (‘G20 Roadmap’).

⁶ *Aligning Cross-Border Payments* (n 5) 26, 28.

⁷ *G20 Roadmap* (n 5) 9; SWIFT, ‘Overcoming Data Quality Challenges in Payments: Industry Standards and Collaboration Provide Key to Greater Transparency’ (Information Paper, 2017) <<https://www.swift.com/swift-resource/134761/download>>.

⁸ *G20 Roadmap* (n 5) 47.

⁹ Ibid 50.

¹⁰ Ibid 59.

¹¹ The World Bank Group, *An Analysis of Trends in Cost of Remittance Services: Remittance Prices Worldwide Quarterly* (Report No 53, March 2025) 5 <<https://remittanceprices.worldbank.org/>>.

¹² Hélène Rey, ‘Stablecoins, Tokens, and Global Dominance’, *International Monetary Fund* (Web Page, September 2025) <<https://www.imf.org/en/Publications/fandd/issues/2025/09/stablecoins-tokens-global-dominance-helene-rey>>.

central bank digital currencies (‘CBDCs’).¹³ Aesop’s fable of the tortoise and the hare comes to mind. Since 2019, and earlier, especially in China, CBDCs, the slow and steady tortoise, have been studied and piloted by cautious central banks prioritising safety and stability.¹⁴ Stablecoins, by contrast, are the hare: quickly launched, tightly integrated with crypto trading, and supercharged by regulatory favour in the United States (‘US’).¹⁵ But this is not a two animal race. There is a third competitor picking up steam – the *rhino* that brings with it the full weight of prudential regulation – tokenised deposits: tokenised forms of the same commercial bank deposits that already power large-value payment systems.

This paper focuses on wholesale settlement and cross-border business-to-business (‘B2B’) payments. First, it sets the scene and defines CBDCs, stablecoins, tokenised bank deposits and deposit tokens. Second, it examines why on-chain assets demand on-chain money. Third, the paper traces how the narrative dramatically shifted from CBDCs being the future to stablecoins taking the lead in light of the recent dramatic US developments. Fourth, it argues that tokenised deposits will likely outperform stablecoins, being the ultimate winner of this race.

II SETTING THE SCENE: WHAT ARE CBDCS, STABLECOINS AND TOKENISED DEPOSITS?

Increasingly, real assets – such as vehicles, mineral deposits, bills of lading, invoices, and even land – are being *tokenised*, meaning their ownership and rights are embodied in digital tokens that reside on a secure online ledger, like a blockchain.¹⁶ Each real world asset token is a digital claim on the asset that can be split, sold, or transferred, with the ledger being a clear shared

¹³ ‘Central Bank Digital Currency: Initial Considerations’ (IMF Policy Paper, International Monetary Fund, November 2023) 6 <<https://www.imf.org/-/media/Files/Publications/PP/2023/English/PPEA2023048.ashx>>.

¹⁴ Anamaria Illes, Anneke Kosse and Peter Wiertz, ‘Advancing in Tandem: Results of the 2024 BIS Survey on Central Bank Digital Currencies and Crypto’ (BIS Paper No 159, Bank for International Settlements, August 2025) <<https://www.bis.org/publ/bppdf/bisap159.pdf>>.

¹⁵ ‘Crypto-Assets and Global Stablecoins’, *Financial Stability Board* (Web Page, 16 October 2025) <<https://www.fsb.org/work-of-the-fsb/financial-innovation-and-structural-change/crypto-assets-and-global-stablecoins>>.

¹⁶ Itai Agur et al, ‘Tokenization and Financial Market Inefficiencies’ (FinTech Notes, International Monetary Fund, 29 January 2025) 3 <<https://www.imf.org/en/Publications/fintech-notes/Issues/2025/01/29/Tokenization-and-Financial-Market-Inefficiencies-561256>>.

record of who owns what.¹⁷ Smart contracts can be used to encode each asset's rules and tie transfers to payment, so asset tokens will only move when the corresponding digital money tokens move.¹⁸ CBDCs, stablecoins and tokenised deposits are three different types of digital money tokens.

CBDCs are digital versions of a country's fiat currency issued directly by a central bank.¹⁹ They usually run on a central-bank ledger and can be retail or wholesale.²⁰ This analysis confines itself to wholesale applications: interbank settlement and liquidity. Central banks began exploring CBDCs in earnest after Meta's proposed Libra project in 2019, which triggered regulatory anxiety about private actors issuing widely adopted forms of money.²¹ Ever since, CBDCs have featured prominently on global policy agendas.²²

In contrast, stablecoins are privately issued digital tokens designed to maintain a stable value, typically being pegged to a fiat currency and redeemable with the issuer.²³ This paper primarily focuses on institutional stablecoins on permissioned networks, meaning blockchains that have controlled access, although retail stablecoins can and do live also on public blockchains.²⁴ Stablecoins grew out of crypto to move value quickly across platforms and borders, with 24/7 settlement and fewer middlemen than bank networks.²⁵

¹⁷ Ibid.

¹⁸ Ibid 4.

¹⁹ Bank for International Settlements, *Central Bank Digital Currencies: Foundational Principles and Core Features* (Report No 1, 2020) 3 <<https://www.bis.org/publ/othp33.pdf>>.

²⁰ Ibid.

²¹ Ross P Buckley and Lucien J van Romburg, 'The Need to Address the Broader Social Dimensions in Any Decision to Issue a Retail Central Bank Digital Currency' (2025) 48(3) *University of New South Wales Law Journal* 952, 954.

²² Ibid 955.

²³ Financial Stability Board, *High-level Recommendations for the Regulation, Supervision and Oversight of Global Stablecoin Arrangements* (Final Report, 17 July 2023) 1 <<https://www.fsb.org/uploads/P170723-3.pdf>> ('*Recommendations for Stablecoins*').

²⁴ Nooshin Nejati et al, 'The Stablecoin Plateau: From Disruption to Integration' (Research Paper, Deutsche Bank Research Institute, 17 November 2025) 5 <<https://www.dbresearch.com/PROD/RI-PROD/PDFVIEWER.calias?pdfViewerPdfUrl=PROD0000000000610103>>; Committee on Payments and Market Infrastructures, *Considerations For the Use of Stablecoin Arrangements in Cross-Border Payments* (CPMI Report, October 2023) <<https://www.bis.org/cpmi/publ/d220.htm>>.

²⁵ Mitsu Adachi et al, 'Stablecoins' Role in Crypto and Beyond: Functions, Risks and Policy', *European Central Bank* (Web Page, July 2022) <https://www.ecb.europa.eu/press/financial-stability-publications/macprudential-bulletin/html/ecb.mpbu202207_2~836f682ed7.en.html>;

Finally, tokenised bank deposits, and their close cousin, deposit tokens, are tokenised forms of traditional bank deposits issued by regulated banks.²⁶ Both are creditworthy because of the prudential regulation that keeps the issuing bank safe and secure.²⁷ The difference between deposit tokens and tokenised bank deposits is that the former is a digital native built to represent an amount of value.²⁸ The tokenised bank deposit, by contrast, is simply a tokenised entitlement to a traditional financial product.²⁹ However, the two instruments are very similar, so this paper uses the term ‘tokenised deposit’ as a catch-all.³⁰

III WHY TOKENISED ASSETS NEED TOKENISED MONEY

Blockchain-based payment systems can enable direct peer-to-peer value transfer across borders 24/7 without needing a chain of correspondent banks.³¹ They give all parties one shared record in real time, with messaging and settlement in the one action, which slashes reconciliation and cut-off delays.³²

Cryptocurrencies demonstrated the potential of such digital currencies by allowing value to move globally on a single rail with on-chain confirmation in minutes.³³ However, the networks

Kenechukwu Anadu et al, *Runs and Flights to Safety: Are Stablecoins the New Money Market Funds?* (Federal Reserve Bank Report No 1073, April 2024)

<https://www.newyorkfed.org/medialibrary/media/research/staff_reports/sr1073.pdf>.

²⁶ European Banking Authority, *Report on Tokenised Deposits* (Report, December 2024) 8
<<https://www.eba.europa.eu/sites/default/files/2024-12/4b294386-1235-463f-b9b5-08f255160435/Report%20on%20Tokenised%20deposits.pdf>> (*‘Report on Tokenised Deposits’*).

²⁷ Ibid 10.

²⁸ Debarshi Bandyopadhyay, ‘Deposit Tokens: Bridging Traditional Banking and the Digital Economy’, *KPMG* (Web Page) <<https://kpmg.com/xx/en/our-insights/value-creation/deposit-tokens-bridging-traditional-banking-and-the-digital-economy.html>>.

²⁹ Ibid.

³⁰ *Report on Tokenised Deposits* (n 26) 8.

³¹ ‘Project mBridge Reached Minimum Viable Product Stage’, *BIS* (Web Page, 11 November 2024)
<https://www.bis.org/about/bisih/topics/cbdc/mcbdc_bridge.htm>.

³² Ibid; Agur et al (n 16) 3.

³³ Mike Faden, ‘Coming in 2017: “Live” Blockchain Deployments Promise to Accelerate Payment Processing Services and Trade Finance’, *American Express* (Web Page)
<<https://www.americanexpress.com/us/foreign-exchange/articles/blockchain-to-accelerate-payment-processing-services/>>; Dylan Yaga et al, *Blockchain Technology Overview* (National Institute of Standards and Technology Internal Report No 8202, October 2018)
<<https://csrc.nist.gov/external/nvlpubs.nist.gov/nistpubs/ir/2018/NIST.IR.8202.pdf>>.

strained at scale and fees jumped at peak times.³⁴ The on- and off-ramps were also beyond bank controls, so compliance was patchy, and, most significantly, the value of cryptocurrencies like Bitcoin was too volatile to serve as currency.³⁵ All of these failings of cryptocurrencies are unsurprising because, notwithstanding their name, most were never primarily built to serve as money or currency beyond paying for reconciliation services within, and integral to, the operation of a blockchain (such as Ethereum).

This is where CBDCs, stablecoins and tokenised deposits enter the picture, marrying blockchain's efficiency with a stable unit of account. They keep prices relatively steady, operate on 24/7 rails, and put the cash leg on-chain with the asset, so the asset and the currency can move simultaneously, or not at all. Ultimately, if digital currencies transact natively on-chain, cross-border payments become far faster, cheaper, and more efficient.³⁶

Banks and corporates will likely use whatever route offers the best speed and cost. Let us recall how, until recently, the dominant view seemed to be that *CBDCs*, rather than stablecoins or tokenised deposits, would be that route.

IV CBDCS AS THE FUTURE FOR GLOBAL PAYMENTS CIRCA 2024

In 2024, many experts, me included, expected CBDCs to anchor the next generation of global payments.³⁷ There were good reasons for this view. For one, central bank money offers the ultimate security and trust. Payments in CBDC carry zero credit risk: a dollar is a dollar and a euro is a euro, whether in physical cash or as a digital token, when issued by a central bank.³⁸ In cross-border contexts, using central bank money should eliminate settlement risk in a currency

³⁴ Bank for International Settlements, *Annual Economic Report* (Report, June 2018) 99–101 <<https://www.bis.org/publ/arpdf/ar2018e5.pdf>>.

³⁵ Ibid.

³⁶ Morten Bech et al, *Using CBDCs across Borders: Lessons from Practical Experiments* (Bank for International Settlements Innovation Hub, June 2022) 4 <<https://www.bis.org/publ/othp51.pdf>>.

³⁷ Anamaria Illes et al, 'Advancing in Tandem: Results of the 2024 BIS Survey on Central Bank Digital Currencies and Crypto' (BIS Papers No 159, Bank for International Settlements, August 2025) <<https://www.bis.org/publ/bppdf/bisap159.pdf>>.

³⁸ 'Central Bank Digital Currency (CBDC)', *Board of Governors of the Federal Reserve System* (Web Page, 21 November 2025) <<https://www.federalreserve.gov/central-bank-digital-currency.htm>>; Committee on Payments and Market Infrastructures, *Options for Access to and Interoperability of CBDCs for Cross-Border Payments: Report to the G20* (Report, July 2022) 16 <<https://www.bis.org/publ/othp52.pdf>>.

exchange, especially if multiple central banks' digital currencies interoperate.³⁹ Furthermore, CBDCs promise settlement finality by virtue of being central bank liabilities. This is a crucial advantage for high-value international transactions where, currently, participants often use intermediaries to manage counterparty risk.⁴⁰

By contrast, tokenised deposits were seen, at the time, as a niche innovation with limited real-world uptake and did not seem like a feasible alternative.⁴¹ Stablecoins seemed more likely but were viewed sceptically given episodes like the Terra/Luna collapse and concerns over the adequacy of reserves.⁴² The prevailing thinking was that, in time, CBDCs would offer a safer alternative to stablecoins for digital payments, squeezing out unregulated private tokens, for three reasons. First, unlike stablecoins, a CBDC would carry the force of law and the balance sheet of the state.⁴³ This removes doubts about whether reserves exist, are valued properly, or will be there in a crisis. Second, a CBDC could link straight into existing banking and payment systems under common technical and regulatory standards.⁴⁴ Banks and processors could plug in without bespoke due diligence for each issuer, cutting costs and speeding scale. Third, governments can drive adoption by paying vendors or invoices, settling inter-agency balances, and accepting CBDCs in payment of taxes.⁴⁵ These network effects, together with built-in compliance with anti-money-laundering and counter-terrorism-financing rules, would presumably draw institutions and corporates away from private tokens.

Accordingly, around 2024, numerous high-profile multi-central-bank experiments were in progress to prove the feasibility of cross-border CBDCs.⁴⁶ Projects like mBridge (involving

³⁹ Committee on Payments and Market Infrastructure, *Central Bank Digital Currencies for Cross-Border Payments: Report to the G20* (Report, July 2021) 11 <<https://www.bis.org/publ/othp38.pdf>> ('CBDCs for Cross-Border Payments').

⁴⁰ 'Review of Correspondent Banking' (n 3).

⁴¹ *Report on Tokenised Deposits* (n 26) 8.

⁴² *Recommendations for Stablecoins* (n 23) 10. See also, Douglas W Arner et al, 'The Financialisation of Crypto: Designing an International Regulatory Consensus' (2024) 53 *Computer Law and Security Review* 105970:1–18.

⁴³ *CBDCs for Cross-Border Payments* (n 39) 20.

⁴⁴ Ibid 9; Banque de France et al, *Project Jura: Cross-Border Settlement Using Wholesale CBDC* (Report, December 2021) <<https://www.bis.org/publ/othp44.pdf>>.

⁴⁵ *CBDCs for Cross-Border Payments* (n 39) 14.

⁴⁶ Bank for International Settlements, *Lessons Learnt on CBDCs: Report Submitted to the G20 Finance Ministers and Central Bank Governors* (Report, July 2023) <<https://www.bis.org/publ/othp73.htm>>.

central banks of China, UAE, Thailand and Hong Kong) were testing how multiple CBDCs could interlink for instant cross-border payments.⁴⁷ The vision was for a network of CBDC hubs that would streamline cross-currency transactions: exporters and importers in different countries paying each other with instantaneous swaps of digital central bank money, executing payment-versus-payment or delivery-versus-payment atomically on a shared ledger.⁴⁸ Such infrastructures would potentially reduce reliance on the US dollar correspondent banking system, and could possibly even democratise the global currency hierarchy.⁴⁹

By late 2024, over 44 CBDC pilots were ongoing worldwide, and institutions like the International Monetary Fund, Bank for International Settlements, and G20 were actively studying standards for interoperability and best practices.⁵⁰

V A U-TURN IN 2025: US POLICY SWINGS TOWARD STABLECOINS

However, the landscape dramatically changed in 2025 – especially in the US, the issuer of the world’s primary reserve currency. In a remarkable series of developments, the US put its entire weight behind a regulated stablecoin framework.⁵¹

In 2024, a digital dollar from the Fed looked plausible. Throughout that year, the Fed and US agencies continued CBDC research and policy work, including Fed discussion papers,⁵²

⁴⁷ ‘Project mBridge Reached Minimum Viable Product Stage’, *BIS* (Web Page, 11 November 2024) <https://www.bis.org/about/bisih/topics/cbdc/mcbdc_bridge.htm>.

⁴⁸ Banque de France et al, *Project Jura: Cross-Border Settlement Using Wholesale CBDC* (Report, December 2021) 18 <<https://www.bis.org/publ/othp44.pdf>>.

⁴⁹ Ross P Buckley, ‘The US is Losing the Race to Develop an Alternative Payments System’, *American Banker* (Web Page, 30 December 2024) <<https://www.americanbanker.com/payments/opinion/the-us-is-losing-the-race-to-develop-an-alternative-payments-system>>.

⁵⁰ Marc Jones, ‘Central Bank Digital Currency Momentum Growing, Study Shows’ (Web Page, 17 September 2024) <<https://www.reuters.com/markets/currencies/central-bank-digital-currency-momentum-growing-study-shows-2024-09-17>>; International Monetary Funds, ‘Central Bank Digital Currency: Progress and Further Considerations’ (Policy Paper, November 2024) <<https://www.imf.org/en/Publications/Policy-Papers/Issues/2024/11/08/Central-Bank-Digital-Currency-Progress-And-Further-Considerations-557194>>.

⁵¹ *Executive Order 14178 of January 23, 2025: Strengthening American Leadership in Digital Financial Technology*, 90 Fed Reg 8647 (‘EO 14178’).

⁵² Francesca Carapella et al, ‘Financial Stability Implications of CBDC’, *Finance and Economics Discussion Series (FEDS)* (Web Page, April 2024) <<https://www.federalreserve.gov/econres/feds/financial-stability-implications-of-cbdc.htm>>.

against the 2022 backdrop of Executive Order 14067 of the Biden administration, which called for more work on developing a US CBDC.⁵³ However, with the Trump administration, the nation changed tack. Two milestones illustrate this U-turn: the enacted *Guiding and Establishing National Innovation for U.S. Stablecoins Act* ('*GENIUS Act*'),⁵⁴ and the House-passed Digital Asset Market Clarity Act of 2025 ('Clarity Act'),⁵⁵ a bill that recently merged with the Anti-CBDC Surveillance State Act.⁵⁶

A The *GENIUS Act*

On 18 July 2025, President Donald Trump signed the *GENIUS Act* into law,⁵⁷ backed by a strong Senate vote in June (68–30),⁵⁸ setting a federal regime for payment stablecoins. Specifically, it recognises bank and non-bank 'permitted payment stablecoin issuers',⁵⁹ demands 100% high-quality liquid reserves,⁶⁰ and requires monthly reserve reports examined by a registered public accounting firm,⁶¹ ensuring transparency is continuous and enforcement has teeth. The *GENIUS Act* also limits core activities of the permitted issuers to issuing/redeeming and managing reserves, with certain ancillary activities allowed only with regulatory approval,⁶² ring-fencing issuers as 'narrow' payments firms. Congress, in effect, built a national stablecoin charter. One

⁵³ *Executive Order 14067 of March 9, 2022: Ensuring Responsible Development of Digital Assets*, 87 Fed Reg 14143.

⁵⁴ *Guiding and Establishing National Innovation for US Stablecoins Act*, Pub L No 119-27, 139 Stat 419 (2025) ('*GENIUS Act*').

⁵⁵ Digital Asset Market Clarity Act of 2025, HR Res 3633, 119th Congress (2025) ('Clarity Act').

⁵⁶ HR Res 707, 119th Cong (2025); Jasper Goodman, 'House GOP Moves to Combine Central Bank Digital Currency Ban with Crypto Bill', *Politico* (Web Page, 16 September 2025) <<https://www.politico.com/live-updates/2025/09/16/congress/house-republicans-move-to-combine-cbdc-ban-with-crypto-market-structure-bill-00566311>>.

⁵⁷ 'President Donald J. Trump Signs *GENIUS Act* into Law', *The White House* (Fact Sheet, 18 July 2025) <<https://www.whitehouse.gov/fact-sheets/2025/07/fact-sheet-president-donald-j-trump-signs-genius-act-into-law>>.

⁵⁸ 'Roll Call Vote 119th Congress - 1st Session', *United States Senate* (Web Page, 17 June 2025) <https://www.senate.gov/legislative/LIS/roll_call_votes/vote1191/vote_119_1_00318.htm>; 'Senate Passes *GENIUS Act*, Clearing Hurdle for Federal Stablecoin Framework', *Jones Day* (Web Page, June 2025) <<https://www.jonesday.com/en/insights/2025/06/senate-passes-genius-act-clearing-hurdle-for-federal-stablecoin-framework>>.

⁵⁹ *GENIUS Act* (n 54) §§ 2(11), 2(23).

⁶⁰ *Ibid* § 4(a)(1)(A).

⁶¹ *Ibid* §§ 4(a)(1)(C), 4(a)(3)(A).

⁶² *Ibid* § 4(a)(7).

federal licence can replace a maze of state money-transmitter rules and enable firms to issue a dollar stablecoin to serve as a payment rail.

B The Clarity Act

Supplementing this, on 17 July 2025, the House passed the Clarity Act,⁶³ a market-structure bill that sets *who oversees what* beyond stablecoins. It essentially gives crypto markets a path from ‘security’ to ‘commodity’ status once they decentralise. The goal of this pathway is to ensure innovation is not choked by legal ambiguity.⁶⁴ As the market matures, the Commodity Futures Trading Commission (‘CFTC’) becomes the lead regulator, replacing the Securities and Exchange Commission (‘SEC’).⁶⁵ The Clarity Act defines ‘digital commodities’,⁶⁶ introduces a ‘mature blockchain’ test,⁶⁷ and allows eligible parties to file a certification with the SEC,⁶⁸ allowing tokens on mature chains to trade as commodities.

It also sets clear custody standards and requires full anti-money-laundering and counter-terrorism-financing compliance. The CFTC becomes the main anti-fraud and anti-manipulation enforcer for digital commodities and related intermediaries, while the SEC retains those roles for securities.⁶⁹ The Clarity Act signals that the US will police intermediaries, not the code,⁷⁰ while aligning with the *GENIUS Act* by leaving payment stablecoins to their own licensing track.⁷¹

Moreover, the *Anti-CBDC* component bars the Fed, Treasury, or any agency from issuing CBDCs to the public or using intermediaries to do so.⁷² While these moves explicitly target *retail* CBDCs, they indirectly steer wholesale innovation toward bank-issued tokens and regulated and permissioned stablecoins.⁷³ By early 2025, the White House had already told federal departments

⁶³ ‘Roll Call 199 | Bill Number: H. R. 3633’, *United States House of Representatives* (Web Page, 17 July 2025) <<https://clerk.house.gov/Votes/2025199>>.

⁶⁴ Clarity Act (n 55) § 201, 203, 205.

⁶⁵ Ibid §§ 302, 401.

⁶⁶ Ibid § 101.

⁶⁷ Ibid § 205.

⁶⁸ Ibid.

⁶⁹ Ibid §§ 302, 401.

⁷⁰ Ibid §§ 109, 309.

⁷¹ Ibid § 301.

⁷² Ibid § 602.

⁷³ *EO 14178* (n 51).

and agencies to stop working on CBDCs.⁷⁴ The bill essentially attempts to lock that stance in statute.

Taken together, these moves establish a clear policy decision against CBDCs and in favour of private issuers of digital dollars. That clarity has pushed banks and fintechs to invest in stablecoins.

VI THE RISE OF STABLECOINS

For evidence that stablecoins are likely to beat CBDCs, one can look to what the big banks are doing. In 2025, major US banks moved from warily watching crypto to actively planning to launch their own stablecoins,⁷⁵ driven by the prospects of instant settlement, liquidity optimisation and cost reductions. As discussed, stablecoin transfer can eliminate multiple middlemen, potentially cutting transaction fees drastically while providing an audit trail on-chain for compliance. For banks, this means the possibility of new efficient payment products (24/7 corporate payments, on-chain cross-border forex, etc) to offer their clients.⁷⁶

The profits at stake may well be eye watering. The current principal stablecoin issuer, Tether, made \$13 billion profit with a staff of only some 150 people in 2024,⁷⁷ and the issuance volume of Tether today will be insignificant relative to what the big banks would need to issue for stablecoins to serve as the principal means of payment in international trade transactions.

⁷⁴ Ibid.

⁷⁵ See Nupur Anand, ‘Some Big US Banks Plan to Launch Stablecoins, Expecting Crypto-Friendly Regulations’, *Reuters* (Web Page, 17 July 2025) <<https://www.reuters.com/business/finance/bank-america-expects-launch-stablecoins-morgan-stanley-weighs-use-2025-07-16>>.

⁷⁶ Hélène Rey, ‘Stablecoins, Tokens, and Global Dominance’, *International Monetary Fund* (Web Page, September 2025) <<https://www.imf.org/en/Publications/fandd/issues/2025/09/stablecoins-tokens-global-dominance-helene-rey>>.

⁷⁷ ‘Tether Hits \$13 Billion Profits for 2024 And All-Time Highs in US Treasury Holdings, USD₯ Circulation, and Reserve Buffer in Q4 2024 Attestation’, *tether.* (Web Page, 31 January 2025) <<https://tether.io/news/tether-hits-13-billion-profits-for-2024-and-all-time-highs-in-u-s-treasury-holdings-usdt-circulation-and-reserve-buffer-in-q4-2024-attestation>>; Oliver Bullough, ‘How Tether Became Money-Launderers’ Dream Currency’, *The Economist* (online, 4 July 2025) <<https://www.economist.com/1843/2025/07/04/how-tether-became-money-launderers-dream-currency>>.

Accordingly, the major banks are investing massively in the infrastructure for stablecoins. JP Morgan’s CEO, Jamie Dimon, has affirmed the bank will ‘be involved’ in stablecoin efforts,⁷⁸ and the bank is reportedly working on a joint stablecoin initiative with banks like Citi and Wells Fargo,⁷⁹ aiming to launch a consortium stablecoin. Bank of America’s CEO, Brian Moynihan, stated in July 2025 that the bank has ‘done a lot of work’ on stablecoin development and is prepared to launch when the time is right,⁸⁰ most likely in partnership with others when there is clear client demand and regulations.⁸¹ Citigroup’s CEO Jane Fraser has confirmed Citi is exploring its own digital dollar token for institutional use.⁸² US regulators have provided tacit approval to these initiatives. In early 2025, the Federal Reserve, OCC, and FDIC issued updated guidance essentially allowing banks to engage in stablecoin issuance and custody provided they abide by proper risk management (superseding more restrictive prior stances).⁸³

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- ⁷⁸ JPMorgan Chase, ‘2Q25 Financial Results: Earnings Call Transcript’ (Transcript, 15 July 2025) 5 <<https://www.jpmorganchase.com/content/dam/jpmc/jpmorgan-chase-and-co/investor-relations/documents/quarterly-earnings/2025/2nd-quarter/jpm-2q25-earnings-call-transcript.pdf>>.
- ⁷⁹ Gina Heeb, ‘Big Banks Explore Venturing into Crypto World Together with Joint Stablecoin’, *The Wall Street Journal* (online, 22 May 2025) <<https://www.wsj.com/finance/banking/crypto-stablecoin-big-banks-a841059e>>.
- ⁸⁰ Bank of America, ‘Second Quarter 2025 Earnings Announcement’ (Transcript, 16 July 2025) 12 <https://d1io3yog0oux5.cloudfront.net/_c0c5532ebfc4fc94063f646e145b14a5/bankofamerica/db/775/10335/webcast_transcript/2025-07-16+BAC+2Q+Earnings+Call_ADA.pdf>.
- ⁸¹ Anand (n 75).
- ⁸² ‘Citigroup Considers Issuing Its Own Stablecoin, CEO Says’, *Reuters* (Web Page, 16 July 2025) <<https://www.reuters.com/business/finance/citigroup-considers-issuing-its-own-stablecoin-ceo-says-2025-07-15>>; ‘Citi Develops New Digital Asset Capabilities for Institutional Clients’, *CitiGroup* (Press Release, 18 September 2023) <<https://www.citigroup.com/global/news/press-release/2023/citi-develops-new-digital-asset-capabilities-for-institutional-clients>>.
- ⁸³ ‘OCC Clarifies Bank Authority to Engage in Certain Cryptocurrency Activities’, *Office of the Comptroller of the Currency* (News Release, 7 March 2025) <<https://www.occ.gov/news-issuances/news-releases/2025/nr-occ-2025-16.html>>; ‘Federal Reserve Board Announces the Withdrawal of Guidance for Banks Related to their Crypto-Asset and Dollar Token Activities and Related Changes to its Expectations for these Activities’, *Board of Governors of the Federal Reserve System* (Press Release, 24 April 2025) <<https://www.federalreserve.gov/newsevents/pressreleases/bcreg20250424a.htm>>; ‘Agencies Withdraw Joint Statements on Crypto-Assets’, *Federal Deposit Insurance Corporation* (Press Release, 24 April 2025) <<https://www.fdic.gov/news/press-releases/2025/agencies-withdraw-joint-statements-crypto-assets>>.

Indeed, the trend in *many* jurisdictions is for stablecoins to be brought within the regulatory perimeter. For example, Hong Kong passed a Stablecoin Ordinance in 2025.⁸⁴ All in all, stablecoins are becoming mainstream, with the marketing and distribution power of the big US banks potentially propagating them further. Banks can integrate stablecoins with existing services; a business banking portal can allow corporates to seamlessly send stablecoin payments, which settle instantly. Furthermore, major bank involvement lends stablecoins instant credibility. Many corporations would likely feel comfortable using a JPMorgan or Bank of America stablecoin for settlements.

Major commercial banks move far faster than any central bank and will invest far more in making their product user friendly and promoting it. If they work, as they likely will, most parties using stablecoins to make payments are unlikely to care about settlement finality and the other systemic advantages CBDCs confer. These are the sorts of things that monetary law professors tend to worry about, not normal people. Therefore, if this was a two animal race between the tortoise, CBDCs, and the hare, stablecoins, my money is on the hare.

But there is one more competitor. Even if the hare beats the tortoise, it may still lose to the *rhino* that had a slow start but is now charging ahead: tokenised deposits.

VII TOKENISED DEPOSITS: THE FINAL WINNER?

In my view, tokenised deposits are the innovation best poised to take home the prize. I argue that tokenised deposits are a better alternative to stablecoins on five grounds: (i) the prudential regulation that underpins tokenised deposits is far more secure and time-tested, (ii) they attract deposit insurance, (iii) they can pay interest, (iv) they offer a seamless transition for the customer, and (v) unlike stablecoins, the customer's legal claim during insolvency is clearly defined.

Tokenised deposits most immediately differ from stablecoins due to their prudential regulation.⁸⁵ Stablecoins are purportedly secure because they are backed by fiat currency, or highly liquid short-dated securities, such as Treasury bonds, on deposit. Yet their creditworthiness depends entirely upon the efficacy of this stability mechanism as stablecoins typically will not

⁸⁴ 'Robust and Sustainable Development of Stablecoins', *Hong Kong Monetary Authority* (Web Page, 23 June 2025) <<https://www.hkma.gov.hk/eng/news-and-media/insight/2025/06/20250623/>>.

⁸⁵ *Report on Tokenised Deposits* (n 26) 10.

attract deposit insurance and will not be supported in a crisis by a central bank acting as a lender of last resort.

This is in stark contrast to bank deposits whose value is supported by the comprehensive regulatory and resolution regimes, deposit insurance schemes (where available) and access to central bank liquidity that all apply to banks.⁸⁶

Nonetheless, some commentators argue stablecoins are more secure due to (i) the incredible profits stablecoin issuance offers the issuers and (ii) a general distrust of the conventional financial system and government, especially in the US.⁸⁷ I do not buy these arguments. Stablecoins are as secure as their stability mechanism, and since much of the expense of issuing stablecoins lies in making them stable,⁸⁸ the temptation to cheat on that is massive. Prudential regulation, at least in well-regulated jurisdictions, is rigorous, and the regulators have had decades or centuries to master how to do it. By comparison, keeping stablecoins stable is a new art.

The comparative advantages of tokenized deposits over stablecoins are even more pronounced in the domestic context, as both parties to the transaction will be familiar with the strength of the domestic prudential regulatory regime. In cross-border contexts, because stablecoins arguably demand lower levels of regulatory harmonization and public-private sector coordination than tokenised deposits, this advantage of tokenised deposits probably falls away.

Furthermore, tokenised deposits are almost immediately implementable for the consumer. JP Morgan customers, for example, would likely be instantly comfortable using a JP Morgan deposit token. After all, the token is simply a different, far cheaper and more efficient way of moving money they already have on account with JP Morgan. The only differences are in the internal workings of the bank which, from the customer's perspective, are presumably irrelevant.

Indeed, JPMorgan Chase's latest moves are instructive for the contest between stablecoins and tokenised deposits. After years of running JPMCoin on private rails, the bank began rolling

⁸⁶ Tobias Adrian et al, 'Understanding Stablecoins' (Departmental Paper, International Monetary Fund, 4 December 2025) 11 <<https://www.imf.org/en/publications/departmental-papers/issues/2025/12/02/understanding-stablecoins-570602>>.

⁸⁷ See eg, Adrian Zmudzinski, 'Stablecoins May be Safer than Bank Deposits: Proof of Talk Panel', *CoinTelegraph* (Web Page, 11 June 2025) <<https://cointelegraph.com/news/stablecoins-may-be-safer-than-bank-deposits>>.

⁸⁸ Adrien d'Avernas, Vincent Maurin and Quentin Vandeweyer, 'Can Stablecoins be Stable?' (Research Paper, 3 August 2023) 4 <<https://www.adriendavernas.com/papers/stablecoins.pdf>>.

out a new version of its deposit token on the public Base blockchain in November 2025, enabling institutional clients to efficiently move dollar deposits.⁸⁹ JPMorgan directly pitches its deposit token as ‘a superior alternative’ to stablecoins for institutions, and for good reason.⁹⁰ As they argue, unlike stablecoins, tokenised deposits remain bank liabilities on the issuing bank’s balance sheet, allowing the bank to pay interest and bringing the tokens within the scope of deposit insurance and central bank support.

Finally, in the US, the *GENIUS Act* has not clearly defined bankruptcy remoteness on stablecoins.⁹¹ If a stablecoin issuer fails, it seems the stablecoin holders’ claims on the reserve assets may still be subordinated to several higher-priority claims. These include repo and margin claims (for which the *GENIUS Act* makes exceptions);⁹² debtor-in-possession loans made to the issuer to facilitate its orderly wind-down;⁹³ bankruptcy professional fees;⁹⁴ and setoff rights of the bank or custodian which the *GENIUS Act* leaves intact by exempting ‘satisfying obligations associated with the use, receipt, or provision of standard custodial services’⁹⁵ and which likely covers setoff arrangements. For these reasons, commentators have argued that stablecoin holders effectively sit ‘fifth’ in line in any bankruptcy proceedings of a stablecoin issuer.⁹⁶

⁸⁹ Anna Irrera, ‘JPMorgan Rolls Out Deposit Token JPM Coin in Digital Asset Push’, *Bloomberg* (Web Page, 12 November 2025) <<https://www.bloomberg.com/news/articles/2025-11-12/jpmorgan-rolls-out-deposit-token-jpm-coin-in-digital-asset-push>>.

⁹⁰ Anna Irrera, ‘JPMorgan Rolls Out Deposit Token JPM Coin in Digital Asset Push’, *Bloomberg* (Web Page, 12 November 2025) <<https://www.bloomberg.com/news/articles/2025-11-12/jpmorgan-rolls-out-deposit-token-jpm-coin-in-digital-asset-push>>; ‘JPMorgan Chase Says Deposit Token Offers “Superior Alternative” to Stablecoins’, *PYMNTS* (Web Page, 17 June 2025) <<https://www.pymnts.com/blockchain/2025/jpmorgan-chase-says-deposit-token-offers-superior-alternative-to-stablecoins/>>.

⁹¹ Adam Levitin, ‘Sorry to Break It to You Geniuses: Under the *GENIUS Act* the Holders of Stablecoins Actually Have FIFTH Priority in an Issuer Bankruptcy’, *Credit Slips* (Web Page, 2 December 2025) <<https://creditslips.org/2025/12/02/sorry-to-break-it-to-you-geniuses-under-the-genius-act-the-holders-of-stablecoins-actually-have-fifth-priority-in-an-issuer-bankruptcy/>>.

⁹² *GENIUS Act* (n 54) §§ 4(a)(1)(A)(iv)–(v), 4(a)(2)(A), 4(a)(2)(C).

⁹³ *Ibid* §§ 4(a)(2), 11(e).

⁹⁴ *Ibid* §§ 11(d)–(e).

⁹⁵ *Ibid* § 4(a)(2)(B).

⁹⁶ Levitin (n 92). See also, Timothy Massad, ‘Exploring Bipartisan Legislative Frameworks for Digital Assets’ (Testimony, Subcommittee on Digital Assets of the Committee on Banking, Housing and Urban Affairs US Senate, 26 February 2025) 5 <https://www.banking.senate.gov/imo/media/doc/massad_testimony_2-26-25.pdf>.

I do not venture an opinion on these matters. It is sufficient for my argument here to note that prudential regulation is a settled and reliable process, refined over decades and centuries. Meanwhile, considerable uncertainty remains about the priority stablecoins will attract in any bankruptcy of their issuer.

VIII CONCLUSION

The world is moving information about, and title to, real world assets to digital ledgers. That shift demands tokenised money that lives and operates on the same ledgers. Until recently, many, including myself, thought CBDCs would fill that role. Alas, 2025 changed the script: US laws and market developments have put regulated stablecoins in front. Indeed, stablecoins, the swift hare, move at internet speed, operate 24/7, and can interact seamlessly with smart contracts and tokenised assets. However, deposit tokens and tokenised deposits offer all these advantages of tokenised money, with added benefits such as payable interest and central bank support in a crisis whilst not being burdened by the uncertainties that remain around the priority of stablecoins in bankruptcy.

Thus, Aesop's fable of the tortoise and the hare overlooks the third animal in the race: the rhino of tokenised deposits. The long term winner of the contest in the tokenised economy is likely not to be CBDCs, nor stablecoins, but deposit tokens and tokenised bank deposits.